

Question 1

Question ID: 1587990

Which of the following waterfall structures is *most likely* favorable to the limited partners in a private capital investment vehicle?

A) American waterfall.



B) Deal-by-deal waterfall.



C) Whole-of-fund waterfall.



Explanation

Whole-of-fund (European) waterfall structures are more favorable to the limited partners than deal-by-deal (American) waterfall structures because they require all distributions to go to the limited partners until they have recovered all of their initial investments plus the hurdle rate.

(Module 78.1, LOS 78.c)

Question 2

Question ID: 1587991

An alternative investment vehicle that requires incentive fees to be calculated only on the portion of returns above a benchmark return is said to have a:

A) soft hurdle rate.



B) hard hurdle rate.



C) high water mark.



Explanation

A hard hurdle rate means that incentive fees are earned only on returns in excess of the benchmark return. A soft hurdle rate means that incentive fees are calculated on the entire return, but they are only paid if the return exceeds the hurdle rate. A high water mark specifies that incentive fees are only paid on returns that increase an investor's account value above its highest previous value.

(Module 78.1, LOS 78.c)

Question 3

Question ID: 1587992

The effect of survivorship bias on hedge fund risk and returns from historical results is to overstate:

A) both risk and expected returns.



B) expected returns and understate risk.



C) risk and understate expected returns.



Explanation

Because poorer performing, less stable hedge funds are more likely to fail, survivorship bias causes returns to be overstated and risk to be understated in hedge fund databases.

(Module 79.1, LOS 79.a)

Question 4

Question ID: 1587993

A hedge fund has a 2-and-20 fee structure with a hard hurdle rate of 5% and incentive fees calculated independently of management fees. If the fund value was \$12.350 billion at the beginning of the year and \$13.338 billion before fees at the end of the year, an investor's return after fees is *closest* to:

A) 4.4%.



B) 5.4%.



C) 6.4%.



Explanation

The gross return is $13.338 / 12.35 - 1 = 8\%$. Because this is higher than the hurdle rate by 3%, fees are $2\% + (0.20)3\% = 2.6\%$, so the investor's net return is $8.0 - 2.6 = 5.4\%$.

(Module 79.1, LOS 79.b)

Question 5

Question ID: 1587996

Which of the following characteristics *most likely* applies to private capital investing?

A) Liquid secondary market.



B) High degree of reliance on manager skill.



C) Relatively short-term investment horizon.



Explanation

Returns on private equity investments depend to a large extent on the skill of the general partners. Private equity investments are illiquid and require a long-term investment horizon.

(Module 80.1, LOS 80.a)

Question 6

Question ID: 1587997

Regarding the main types of leveraged buyouts (LBOs), in a management buy-in:

A) the existing management team is involved in the purchase.



B) an external management team joins the existing management team.



C) an external management team replaces the existing management team.



Explanation

The two types of LBOs are management buyouts, in which the existing management team is involved in the purchase, and management buy-ins, in which an external management team replaces the existing management team.

(Module 80.1, LOS 80.a)

Question 7

Question ID: 1588000

The gold futures market is said to be in contango if prices for gold futures are currently:

A) equal to the spot price.



B) less than the spot price.



C) greater than the spot price.



Explanation

Contango refers to the situation where futures prices are greater than the spot price, while backwardation refers to the situation where futures prices are less than the spot price. No special name is given to the condition when spot and futures prices are equal.

(Module 82.1, LOS 82.b)

Question 8

Question ID: 1587999

It is *most likely* that, compared to investing directly in infrastructure assets, an investment in publicly traded infrastructure securities:

A) provides less liquidity.



B) does not regularly distribute asset cash flows to securities holders.



C) provides access only to a small segment of the available infrastructure assets.



Explanation

Only a small segment of the infrastructure assets universe is accessible through publicly traded securities. Publicly traded infrastructure securities are more liquid than direct investment in infrastructure assets and typically pass through cash flows from the underlying assets to individual investors.

(Module 81.2, LOS 81.d)

Question 9

Question ID: 1588002

An equity hedge fund that takes long positions in undervalued shares and short positions in overvalued shares is *best* described as pursuing:

A) market neutral strategy.



B) fundamental growth strategy.



C) fundamental value strategy.



Explanation

A fundamental value strategy is to buy equities believed to be undervalued and short equities believed to be overvalued. A market neutral strategy maintains approximately equal values in long and short positions, attempting to profit from relative price changes without overall market exposure. A fundamental growth strategy attempts to buy equities in companies expected to sustain high growth rates and short equities in companies expected to experience low or no growth.

(Module 83.1, LOS 83.a)

Question 10

Question ID: 1588004

During the portfolio management process, a benchmark should be defined during the:

A) planning step.



B) feedback step.



C) execution step.



Explanation

Part of the planning step is to specify an objective benchmark (such as an index return) against which the success of the portfolio management process will be measured.

(Module 85.1, LOS 85.b)

Question 11

Question ID: 1588005

Compared to property and casualty insurance companies, life insurance companies typically have investment horizons that are:

A) longer.



B) shorter.



C) the same.



Explanation

Insurance companies invest customer premiums with the objective of funding customer claims as they occur. Life insurance companies typically have a long-term investment horizon, while property and casualty (P&C) insurers have a shorter investment horizon because their claims are expected to arise sooner than those of life insurers.

(Module 85.1, LOS 85.c)

Question 12

Question ID: 1587994

A private equity fund owns a large office tower in the commercial district of a major city. No comparable properties have been bought or sold in the recent past. In a fair value hierarchy, this asset is *most* appropriately classified as a:

A) Level 1 investment.



B) Level 2 investment.



C) Level 3 investment.



Explanation

Level 3 investments are those that require unobservable inputs to estimate a fair value, such as real estate holdings that lack frequent market transactions for comparable properties. Level 1 investments are those that trade in active markets. Level 2 investments are those that lack quoted prices, but which have fair values that can be estimated based on observable inputs.

(Module 79.1, LOS 79.a)

Question 13

Question ID: 1587995

At the beginning of the year, a hedge fund had assets under management of EUR 500 million. The fund charges a management fee of 2% based on end-of-year assets under management and a performance fee of 20% that is subject to a hard hurdle rate of 10% after management fees. The fund ended the year with assets under management of EUR 570 million. Investors' return for the year is *closest* to:

A) 10.0%.



B) 10.9%.



C) 11.4%.



Explanation

Management fee = $2\% \times 570 \text{ million} = 11.4 \text{ million}$

Increase in AUM during the year = $570 \text{ million} - 500 \text{ million} = 70 \text{ million}$

Excess over the hurdle = $70 \text{ million} - (500 \text{ million} \times 0.10) - 11.4 \text{ million} = 8.6 \text{ million}$

Performance fee = $8.6 \text{ million} \times 0.20 = 1.72 \text{ million}$

Total fees = $11.4 \text{ million} + 1.72 \text{ million} = 13.12 \text{ million}$

Return to investors = $70 \text{ million} - 13.12 \text{ million} = 56.88 \text{ million}$

Investors' return = 56.88 million / 500 million = 11.38%.

(Module 79.1, LOS 79.b)

Question 14

Question ID: 1587998

Among real estate investment strategies, which of the following *most likely* have the lowest risk level?

A) Core-plus.



B) Value-add.



C) Opportunistic.



Explanation

Core-plus strategies are likely to be the least risky of these three real estate investment strategies. The main source of return for core-plus holdings comes from leases. Opportunistic real estate provides the greatest return potential but at the highest level of risk. Value-add strategies put much more emphasis on price appreciation and are riskier than core-plus strategies.

(Module 81.1, LOS 81.a)

Question 15

Question ID: 1588001

For physically settled commodities contracts, when the spot price of the underlying is greater than its forward prices, this generally results from a:

A) positive convenience yield and increases the return of a long-only investor.



B) positive convenience yield and decreases the return of a long-only investor.



C) negative convenience yield and decreases the return of a long-only investor.



Explanation

A scenario in which the spot price is greater than forward prices is called backwardation, a downward-sloping forward curve. This occurs for physically settled contracts when the convenience yield is positive and the benefit of holding the commodity exceeds the cost of carry. Backwardation generally increases the return of a long-only investor.

(Module 82.1, LOS 82.b)

Question 16

Question ID: 1588003

An investor is looking to gain exposure to cryptocurrency but does not have a significant amount of funds to invest upfront, and therefore wishes to employ leverage. Which of the following forms of investment would be *most* appropriate for the investor?

A) Cryptocurrency coin trust.



B) Cryptocurrency futures contract.



C) Cryptocurrency exchange-traded funds.



Explanation

Cryptocurrency futures contracts contain inherent leverage because they only require the investor to post margin. In contrast, investments in cryptocurrency coin trusts and exchange-traded funds require full payment upfront.

(Module 84.2, LOS 84.c)

Question 17

Question ID: 1588006

Which of the following is a typical feature of a defined contribution pension plan?

A) The investment risk is borne by the employee, who makes the investment decisions.



B) Poor investment performance will increase the amount of required employer contributions to the fund.



C) The amount received after retirement is usually based on the employee's compensation near their retirement date.



Explanation

Defined contribution plans require the employer (and often employee) to contribute a specific amount to the retirement account. However, the investment risk is borne by the employee as the employer is not liable to make any further contributions and guarantees no specific future value of the pension fund. The other two choices are typical features of defined benefit pension plans, where the employer assumes the investment risk and guarantees a specific payout to the employee in retirement.

(Module 85.1, LOS 85.d)

Question 18

Question ID: 1588007

Which of the following items is *most likely* to be found in the appendix to an investment policy statement (IPS)?

A) Portfolio rebalancing guidelines.



B) Authorization for the use of derivatives.



C) Restrictions with respect to social investing.



Explanation

An appendix to the IPS usually includes the client's strategic asset allocation and rebalancing policy. Authorization for derivatives trading is usually included in the investment guidelines section. Restrictions with respect to social investing would most likely be included in the investment constraints section as a unique circumstance.

(Module 86.1, LOS 86.b)

Question 19

Question ID: 1588008

An analyst is looking at the risk objectives in three clients' investment policy statements. Which of these is a relative risk objective?

A) For the portfolio to not decrease in value by more than 5% over a 12-month period.



B) No greater than a 3% probability of a loss of more than \$35,000 over a 12-month period.



C) Exceed the return on the FTSE 100 Index by 1% over a 12-month period.



Explanation

Relative risk objectives relate to a specific benchmark, whereas absolute risk objectives do not. Comparison to the FTSE 100 Index is a relative risk objective.

(Module 86.1, LOS 86.c)

Question 20

Question ID: 1588009

Many defined contribution plan participants tend to hold a large amount of assets in company stock relative to other asset classes because they have worked at the company for many years. Participants with such a tendency *most likely* exhibit:

A) status quo bias.



B) endowment bias.



C) overconfidence bias.



Explanation

Endowment bias is often demonstrated with clients who continue to hold investments with which they are familiar (e.g. they have worked at the company for many years); the familiarity and comfort adds to the perceived value of the stock. Status quo bias refers to a lack of action on the part of the participant; holding excess company stock does not necessarily imply lack of action. Overconfidence bias refers to unwarranted faith in one's own abilities.

(Module 87.1, LOS 87.b)

Question 21

Question ID: 1588010

Jon Jaffrey enjoys reading about stocks. He subscribes to various publications to find investment ideas but usually only acts on ideas that come from one publication because it specializes in investment issues. Which behavioral characteristic does Jaffrey *most likely* demonstrate with this basis for his decision-making?

A) Framing.



B) Anchoring.



C) Representativeness.



Explanation

Jaffrey's basis for his decision-making exhibits framing. He places more weight on the financial publication only because it specializes in investments, as opposed to evaluating investment ideas on their own merits regardless of their source.

(Module 87.1, LOS 87.b)

Question 22

Question ID: 1588011

Which of the following behavioral biases is an investment advisor *most likely* to be able to mitigate by educating the client?

A) Endowment bias.



B) Loss aversion bias.



C) Anchoring and adjustment bias.



Explanation

In general, an investment advisor can mitigate cognitive errors by educating the client, but may need to accommodate emotional biases, which are more difficult to mitigate. Anchoring and adjustment bias is a cognitive error related to information processing. Loss aversion and endowment are emotional biases.

(Module 87.2, LOS 87.c)

Question 23

Question ID: 1588012

In the context of risk management, which of the following is *least likely* classified as a financial risk?

A) Credit risk.



B) Liquidity risk.



C) Solvency risk.



Explanation

Solvency risk is a non-financial risk, as this arises from the operations of the organization. It is the risk that the organization will be unable to continue to operate because it has run out of cash. Financial risks are those that arise from exposure to financial markets, whereas non-financial risks arise from the operations of the organization and from sources external to the organization. Credit risk and liquidity risk are financial risks.

(Module 88.1, LOS 88.f)

Question 24

Question ID: 1588013

The primary principles on which the CFA Institute Bylaws and Rules of Procedure for Proceedings Related to Professional Conduct are based *least likely* include:

A) fair process.



B) confidentiality.



C) global application.



Explanation

The enforcement structure for the Code and Standards is centered around the Rules of Procedure, which are based on two primary principles: fair process and confidentiality of proceedings. "Global application" relates to the Code and Standards.

(Module 90.1, LOS 90.a)

Question 25

Question ID: 1588014

CFA Institute ethical and professional standards:

A) include the code of ethics as a general guide for how community members should act.



B) require that firms which adopt the code of ethics must also adopt the standards of professional conduct.



C) include the standards of professional conduct as the highest benchmark for acceptable behavior by financial analysts.



Explanation

The code of ethics serves as a general guide for how community members should act and guides member behavior. CFA Institute ethical and professional standards do not require that firms adopt either the code of ethics or the standards of professional conduct. The standards of professional conduct serve as the benchmark for *minimally* acceptable behavior.

(Module 90.1, LOS 90.c)

Question 26

Question ID: 1588015

Judy Nicely, CFA, works for a large brokerage firm managing portfolios for individuals. In a meeting with Patty Owen, a client, Nicely suggests moving a portion of Owen's portfolio to U.S. bank certificates of deposit. Nicely states that the principal is guaranteed up to Federal Deposit Insurance Corporation limits. Nicely has:

A) complied with CFA Institute Standards.



B) violated the Standards by making an inappropriate assurance or guarantee.



C) violated the Standards by misrepresenting the terms and character of the investment.



Explanation

Standard I(C) Misrepresentation does not prohibit members and candidates from providing clients with data on investment products that have guarantees built into their structures. The CDs are in fact guaranteed, and Nicely correctly points out that only the principal is guaranteed.

(Module 91.2, LOS 91.a91.b91.c)

Question 27

Question ID: 1588016

Bob Reynolds, CFA, is bearish on JBH Manufacturing Company and takes a short position in the stock. Reynolds posts negative claims about company management, which are untrue, to several popular investment bulletin boards on the Internet. According to CFA Institute Standards of Professional Conduct, Reynolds has violated the Standard concerning:

A) fair dealing.



B) communication with clients.



C) market manipulation.



Explanation

According to Standard II(B) Market Manipulation, Reynolds has engaged in information-based manipulation by spreading false rumors to induce trading by others.

(Module 91.3, LOS 91.a91.b91.c)

Question 28

Question ID: 1588017

The recommended procedures for the Standard on material nonpublic information state that a firm's internal information "firewall" should include:

A) a prohibition against buying and selling when the firm possesses material nonpublic information.



B) a reporting system in which authorized personnel review and approve interdepartmental communications.



C) distribution of a restricted list to all employees in the relevant departments of the firm.



Explanation

An effective firewall includes a system for review by authorized compliance personnel of communications between departments on either side of the wall. Prohibiting any buying and selling is not recommended because doing so can provide a signal to other market participants; the firm should continue to execute unsolicited buy and sell orders from customers. Distribution of restricted lists should be limited to the compliance personnel responsible for monitoring trading in the restricted securities.

(Module 91.3, LOS 91.a91.b91.c)

Question 29

Question ID: 1588018

According to the Standard concerning fair dealing, new or changed investment recommendations should be made available to:

A) all clients.



B) clients who have indicated a prior interest in that type of security.



C) only clients who have selected a level of service that includes such notification.



Explanation

Recommended procedures to comply with Standard III(B) Fair Dealing state that initial recommendations should be made available to clients who have indicated an interest in the specific security type. The firm does not need to communicate a recommendation to all clients, but choosing which clients receive the recommendation should be based on suitability and known interest. Differentiated levels of service are acceptable, but not if any client group is disadvantaged. Delaying the distribution of a new or changed recommendation to clients who have expressed an interest would disadvantage them.

(Module 91.4, LOS 91.a91.b91.c)

Question 30

Question ID: 1588019

Randy Green, CFA, is a principal in an investment advisory firm. His firm has been retained by Bob Harris to manage a retirement fund of which Harris is a director. Green writes Harris a letter that states he will personally oversee the account and will always act in Harris's best interest. If Green acts in accordance with this statement, he will:

A) not violate the Code and Standards.



B) violate the Standard concerning priority of transactions.



C) violate the Standard concerning loyalty, prudence, and care.



Explanation

Members and candidates must identify the parties to whom fiduciary duty of loyalty is owed. In this case, Green's fiduciary duty is to the beneficiaries of the pension fund, not to Harris. If Green acts in Harris's best interests rather than the best interests of the beneficiaries, he will violate Standard III(A) Loyalty, Prudence, and Care.

(Module 91.4, LOS 91.a91.b91.c)

Question 31

Question ID: 1588020

Fran Bitner, CFA, manages a portfolio for a retail client. The client calls Bitner and requests a trade that Bitner believes is unsuitable according to the client's IPS but would not have a material impact on the client's overall portfolio. According to the Code and Standards, Bitner's *most appropriate* action is to:

A) evaluate whether to continue her advisory relationship with this client.



B) open an unmanaged account in which the client may execute this trade, if her firm's policies allow this.



C) discuss with the client how this trade deviates from the IPS and follow her firm's policies for obtaining client approval.



Explanation

According to the guidance for Standard III(C) Suitability, an advisor who receives an unsolicited trade request that is unsuitable should discuss the trade with the client before carrying it out. If the unsolicited trade would not have a material effect on the client's portfolio, the advisor should discuss with the client how this trade deviates from the client's IPS, then follow her firm's policies for obtaining client approval. At a minimum, this should require the client to acknowledge having discussed the trade's unsuitability with the advisor.

(Module 91.5, LOS 91.a91.b91.c)

Question 32

Question ID: 1588021

Nancy Wiley, CFA, suspects that one of her clients is involved in illegal money-laundering activity and may have large amounts of unreported income. To comply with the Code and Standards, Wiley's *best* course of action is to:

A) report the suspected activity to the authorities as required by law.



B) report the activity and dissociate from managing that client's account.



C) inform her supervisor, check with her firm's compliance department and possibly outside counsel, and allow her employer to determine the proper steps to take.



Explanation

Standard III(E) Preservation of Confidentiality suggests the most appropriate action is to check with compliance or legal counsel before going forward to the authorities regarding a possible violation. CFA Institute recognizes that in some cases there may be an obligation to not "preserve confidentiality" and disclose information as required by law. The activities described are only suspected, and proper care should be taken to not expose her firm to liability if confidential allegations of impropriety are improperly.

(Module 91.5, LOS 91.a91.b91.c)

Question 33

Question ID: 1588022

With respect to a member's activities when leaving a firm, under the Code and Standards, it is *least likely* that:

A) using knowledge of client names after leaving the firm is permissible.



B) it is acceptable to take firm records or work performed on the employer's behalf, if the employer grants permission.



C) the employee's skills and knowledge obtained while employed are considered confidential or privileged information of the employer.



Explanation

After the employee has left the firm, his or her skills and knowledge while employed (including client names) are not considered confidential or privileged information.

(Module 91.6, LOS 91.a91.b91.c)

Question 34

Question ID: 1588023

Hugh Nelson, CFA, has recently been offered a supervisory role at his firm. Nelson will be responsible for managing a large staff of portfolio managers and securities analysts. Before accepting the position, Nelson reviews the firm's compliance policies and procedures. Nelson feels the procedures and policies are adequate, with one major exception—a trade allocation procedure. Nelson's *most appropriate* action is to:

A) accept the position and encourage the firm to implement adequate trade allocation procedures.



B) decline in writing to accept the promotion until adequate compliance procedures are in place.



C) accept the position, implement an adequate trade allocation procedure, and encourage the firm to adopt policies consistent with CFA Institute Standards.



Explanation

Standard IV(C) Responsibilities of Supervisors requires members to make a reasonable effort to prevent their subordinates from violating laws, regulations, rules, and the Code and Standards, and to identify such violations. A member should decline supervisory responsibility in writing if proper compliance procedures are not in place.

(Module 91.6, LOS 91.a91.b91.c)

Question 35

Question ID: 1588024

Kay Boyle, CFA, lives and works in a country that requires financial firms to retain all emails and text messages sent to customers for at least three years. Boyle's firm has a policy of retaining records for at least five years. Under the Code and Standards, how long is Boyle required to retain emails and text messages she sends to customers?

A) Five years because the firm's policy is more strict than the applicable law.



B) Three years because this is the applicable law for emails and text messages.



C) Seven years because the Standards are more strict than the applicable law or the firm's policy.



Explanation

In this case, the strictest applicable rule is the policy of Boyle's firm. Standard V(C) Record Retention states that fulfilling regulatory requirements and firm policies is sufficient to comply with the Standard. Emails and text messages are records of the firm, and Boyle must follow her firm's policies with regard to retaining them. Standard V(C) *recommends* a record retention period of seven years in cases where no regulation or firm policy applies.

(Module 91.7, LOS 91.a91.b91.c)

Question 36

Question ID: 1588025

Tom Laird, CFA, subscribes to several different analytical and research reporting services, reviews their research, and presents the analysis he believes is accurate to his clients. Laird attributes the material to its sources. Laird's method of providing analysis to his clients:

A) does not violate any Standards.



B) violates the Standard on diligence and reasonable basis.



C) violates the Standard related to independence and objectivity.



Explanation

Under Standard I(C) Misrepresentation, members and candidates may employ ideas from others with proper acknowledgement. By reviewing the third-party research before distributing it, Laird complies with Standard V(A) Diligence and Reasonable Basis. Standard I(B) Independence and Objectivity concerns outside parties who may wish to influence an analyst's independent judgment.

(Module 91.7, LOS 91.a91.b91.c)

Question 37

Question ID: 1588026

John Malone, CFA, manages pension funds at BNA Trust Company. Malone's wife is on the board of directors of Barley Corporation and owns 3% of its outstanding stock. BNA Trust's research division has recently recommended Barley stock to its trust officers and pension fund portfolio managers. Based on the CFA Institute Standards, Malone:

A) may purchase the stock after disclosing his spouse's ownership interest to his supervisor and to the trustees of the pension funds he manages. 

B) may not purchase the stock because he is not able to be unbiased and objective, given his spouse's affiliation with Barley. 

C) is free to act with no restrictions because he is not a beneficial owner of the Barley stock. 

Explanation

Under Standard VI(A) Disclosure of Conflicts, Malone is required to disclose to his employer all matters, including beneficial ownership of securities or other investments that reasonably could be expected to interfere with his duty to his employer or ability to make unbiased and objective recommendations. In addition, under Standard VI(A), Malone must disclose to clients all matters, including beneficial ownership of securities or other investments, that reasonably could be expected to impair his ability to make unbiased and objective recommendations. Members beneficially own securities or other investments that they or a member of their immediate family own or that are held in trust for them or their immediate family.

(Module 91.8, LOS 91.a91.b91.c)

Question 38

Question ID: 1588027

Roger Smith, CFA, manages a retirement account for his father-in-law. Smith notices that a stock his father-in-law owns has been downgraded by his firm's research department. Smith places a "sell" order for the entire position in that stock for three clients' accounts, one of which belongs to his father-in-law. According to the CFA Institute Standards of Professional Conduct, Smith:

A) has violated the Standards because he has beneficial ownership in the account.



B) has not violated any Standard because his father-in-law's account should be treated like any other firm account.



C) has violated the Standards by entering a transaction before all clients have had adequate opportunity to act on the recommendation.



Explanation

Standard VI(B) Priority of Transactions states that family accounts that are client accounts should be treated like other firm accounts and should not be given special treatment nor be disadvantaged due to a family relationship with the member.

(Module 91.8, LOS 91.a91.b91.c)

Question 39

Question ID: 1588028

Janet Todd passed Level II of the CFA program in June of last year and wants to note on her résumé her involvement in the CFA program. Todd passed both Level I and Level II of the CFA examination on her first attempts and plans to register for the Level III examination next year. Which of the following is an acceptable reference to her participation in the CFA program? Janet Todd:

A) is a Level III candidate in the CFA program.



B) is a Level II CFA.



C) passed the Level I and Level II CFA examinations on her first attempts.



Explanation

Todd may not claim that she is a "Level III candidate in the CFA program" because she has not registered for the next Level III CFA examination. There is no partial designation for someone who has passed Level I, Level II, or Level III of the CFA examination.

(Module 91.9, LOS 91.a91.b91.c)

Question 40

Question ID: 1588029

Marilyn Wyatt, CFA, is explaining why Global Investment Performance Standards (GIPS) were created and the parties to which they apply. Wyatt states: (1) GIPS were created to address misleading practices such as presenting superior performance of a particular account or over a selected time period as if it were typical; and (2) members and candidates are not required to comply with GIPS, but it is recommended that they do so. Are Wyatt's statements accurate?

A) Both of these statements are accurate.



B) Neither of these statements is accurate.



C) Only one of these statements is accurate.



Explanation

GIPS were created to offer a set of standards that avoid misleading performance presentation practices such as those listed in the first statement. The second statement is inaccurate because GIPS apply to investment management firms, not to individual members or candidates.

(Module 92.1, LOS 92.a)

Question 41

Question ID: 1588030

An acceptable construction of a composite for a firm that complies with Global Investment Performance Standards could include all discretionary, fee-paying portfolios that:

A) follow a capital preservation strategy.



B) hold between \$1 million and \$5 million in assets.



C) were 100% invested in speculative-grade bonds for the past year.



Explanation

Under GIPS, a composite must be defined in terms of an investment strategy, mandate, or objective. Portfolio size is not an acceptable criterion for defining a composite. Portfolios must be included in a composite before their performance is known; a composite cannot be constructed retrospectively.

(Module 92.1, LOS 92.c)

Question 42

Question ID: 1588031

Donna White, CFA, resides in the country of Xanadu. White discovers that a conflict exists between Xanadu's regulatory requirements and the Standards of Professional Conduct. Specifically, Regulation 100 is more strict than the Standards, but Regulation 200 is less strict than the Standards. When conducting business in Xanadu, White must adhere to the:

A) CFA Institute Standards for both Regulation 100 and Regulation 200.



B) Xanadu regulatory requirements for both Regulation 100 and Regulation 200.



C) Xanadu regulatory requirements for Regulation 100, but the CFA Institute Standards for Regulation 200.



Explanation

Standard I(A) Knowledge of the Law requires members and candidates to follow the more strict of the applicable laws and the Standards of Practice. Thus, White must comply with Regulation 100 because it is more strict than the Standards. As far as Regulation 200 is concerned, she should comply with the Standards because they are more strict than Regulation 200.

(Module 93.1, LOS 93.b)

Question 43

Question ID: 1588032

Which of the following actions would *most likely* violate the Standard related to misconduct?

A) A member gets drunk and drives into a tree, killing the tree.



B) A candidate reports damage to her car to her insurance company as vandalism, but she actually caused the damage herself.



C) A candidate tells a client that timely interest and principal payments from an agency mortgage-backed security are guaranteed.



Explanation

Falsifying an insurance claim is a violation of Standard I(D) Misconduct because it involves fraud and dishonesty. Stating truthfully that some investments come with guarantees is not a violation. Neither getting drunk nor killing trees is prohibited by the Standard.

(Module 93.1, LOS 93.b)

Question 44

Question ID: 1588033

Juliann Clark, CFA, participates in a conference call for several analysts in which the chief executive officer at Dex says his company's board of directors has just accepted a tender offer from Monolith Chemicals to buy Dex at a 40% premium over market. Clark contacts Bart Alpert, CFA, and relates the information about Dex and Monolith. Alpert promptly contacts his broker and buys 2,000 shares of Dex's stock. Did Clark or Alpert violate the Code and Standards?

A) Both members violated the Code and Standards.



B) Neither member violated the Code and Standards.



C) Only one of the members violated the Code and Standards.



Explanation

Standard II(A) Material Nonpublic Information prohibits members who possess material nonpublic information from acting on or causing others to act on that information. Information disclosed to a select group of analysts is not made public by that fact.

(Module 93.1, LOS 93.b)

Question 45

Question ID: 1588034

Ed Michaels, CFA, recently executed a series of large buy orders for a client that have driven the price of a small-cap stock, in which Michaels' firm owns shares, up by approximately 5%. Separately, the firm is part of the underwriting syndicate for an IPO and has promised to act as a market maker for the shares and to create additional liquidity in the stock over its first 90 days of trading by committing to minimum bids and offers of 5,000 shares and to a maximum spread of 1/8th. Do either of these actions violate the Standard concerning market manipulation?

A) Both of these actions violate the Standard.



B) Neither of these actions violates the Standard.



C) Only one of these actions violates the Standard.



Explanation

Michaels has not violated Standard II(B) Market Manipulation by either of these actions. In neither case is there an intent to mislead market participants. Large buy orders may well increase the price of a stock. The trading desk has informed market participants that they will create additional liquidity for a period of 90 days after the offering and created no expectation that the liquidity of the stock will remain at that level permanently.

(Module 93.1, LOS 93.b)

Question 46

Question ID: 1588035

William Rex, CFA, has a one-man firm that manages investment portfolios. In his marketing materials, Rex presents the asset-weighted returns for accounts he has managed over the last five years and does not disclose that the first two years of his performance history were achieved at a previous firm. He also includes simulated results of a stock selection model he employs and indicates that they are from a simulation. Has Rex violated any CFA Institute Standards of Professional Conduct?

A) No.



B) Yes, failing to disclose that two years of his performance results were with a previous employer is a violation, but including the simulated results is acceptable.



C) Yes, both by failing to disclose that two years of his performance results were with a previous employer and by including the simulated, rather than actual, performance results.



Explanation

Under Standard III(D) Performance Presentation, members and candidates must make reasonable efforts to ensure that investment performance information is fair, accurate, and complete. Rex has misled his potential clients by not disclosing that the first two years of his performance record were achieved at another firm. There is no prohibition against presenting simulated results as long as the fact that the results are simulated, rather than actual, is disclosed.

(Module 93.1, LOS 93.b)

Question 47

Question ID: 1588036

Chuck Swamy, CFA, works as a portfolio manager at an investment advisory firm. Swamy serves on the board of directors of Landmark Enterprises, a private company, for which he receives \$2,000 annually. Swamy also serves as an unpaid investment and portfolio advisor to the local symphony and receives season tickets to the symphony for his service. According to the Standards concerning duties to employers, Swamy is *most likely* required to:

A) secure written permission from his employer before performing services for the symphony.



B) disclose to his employer the additional compensation he receives from both the symphony and from Landmark.



C) disclose to his employer any additional compensation he receives from Landmark and secure written permission to serve on its board.



Explanation

According to Standard IV(B) Additional Compensation Arrangements, Swamy must secure written permission before undertaking the investment advisory work for the symphony because this work competes with his employer, might create a conflict of interest, and involves compensation in the form of season tickets. His service on Landmark's board may be subject to employer rules about outside employment but is not covered by the Standard because there is no likely competition or potential conflict with his employer. It is important to focus on the key difference between the two outside activities. Both are compensated—the fact that one is cash and the other is tickets is irrelevant. The key difference is in doing work for the symphony, Swamy is acting as an investment advisor, which clearly competes with his employer's business.

(Module 93.1, LOS 93.b)

Question 48

Question ID: 1588037

Russ Shane, CFA, recommends mutual funds to his clients from a list of 30 funds that his firm has approved, but which he has not researched himself. Shane hears from a former colleague that Rush Growth Fund, which is not on his firm's list, was the best-performing fund in its category over the last three years. Shane recommends this fund to a new client. Shane has:

A) not violated the Standards.



B) violated the Standards by recommending Rush Growth Fund but not by recommending funds from his firm's approved list.



C) violated the Standards by recommending Rush Growth Fund and by failing to research the funds on his firm's approved list before recommending them.



Explanation

Shane violated Standard V(A) Diligence and Reasonable Basis by recommending Rush Growth Fund without a reasonable basis. Relying on his firm's approval is appropriate.

(Module 93.1, LOS 93.b)

Question 49

Question ID: 1588038

William Rogers, CFA, is a commercial insurance broker who sometimes recommends money managers to his high net worth clients. For those clients who hire the managers, the managers pay Rogers a percentage of the management fees on the account. Rogers tells prospects, "I receive referral fees from the money managers if you employ them." Rogers has:

A) not violated the Standards.



B) violated the Standard concerning referrals.



C) violated the Standard on communications with clients and prospects.



Explanation

Standard VI(C) Referral Fees requires members and candidates to disclose any referral fees they will earn from successful referrals, as well as the nature of the compensation. Here Rogers must disclose that he will receive a percentage of management fees on an ongoing basis.

(Module 93.1, LOS 93.b)

Question 50

Question ID: 1588039

Which of the following actions is *least likely* a violation of the Standard concerning conduct as participants in CFA Institute programs?

A) A member anonymously posts a disparaging comment about CFA Institute policies on an Internet message board.



B) A member fails to disclose a formal complaint from a client on her annual Professional Conduct Statement.



C) A candidate who took the Level I CFA exam in May discusses which topics were emphasized with a candidate for the November exam.



Explanation

Standard VII(A) Conduct as Participants in CFA Institute Programs does not prohibit members and candidates from expressing negative opinions about CFA Institute or the CFA program. Disclosing exam content and misrepresenting information on the annual PCS are violations of Standard VII(A).

(Module 93.1, LOS 93.b)

Question 51

Question ID: 1588040

Securities laws in the Trempealeau Islands prohibit trading based on nonpublic information. Compared to the Code and Standards, this regulation is:

A) less strict.



B) more strict.



C) equally strict.



Explanation

This regulation is stricter than Standard II(A) Material Nonpublic Information. While any trading based on material nonpublic information is a violation of Standard II(A), not all nonpublic information is necessarily material. Under Standard II(A) it is permissible for an analyst to share conclusions based on a combination of public information and nonmaterial nonpublic information (the mosaic theory).

(Module 93.1, LOS 93.b)